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SIXTEEN IS THE age when students aiming to become doctors are entering the maws of NEET, the all-India entrance examinations that decide whether they are fit to take a shot at getting the MBBS stamp. Now 16 going on 17, it's Practo's time to think if it is prepared for a date with the market. The doctor-on-call app that began life as a tool to help doctors handle their appointments, has put the 2020 Covid-19 pandemic's disruption behind it and shrunk its losses by half. With over 150,000 doctors on board, Practo is now dabbling with artificial intelligence (AI).

Practo's FY24 results may set it on the path to an initial public offering (IPO). Over the past four financial years, Practo has grown revenues, although it is still losing money. Revenue increased from ₹105 crore in FY21 to ₹240 crore in FY24. It has brought down operational losses, with Ebitda or earnings before interest, taxes, depreciation, and amortisation going from -₹87 crore to -₹32 crore, and adjusted Ebitda losses decreasing from ₹82 crore to ₹18 crore.

The adjusted Ebitda margin as a percentage of revenue has improved, moving from -78.10% to -7.50%, indicating a positive shift in operational efficiency and cost management.

INSPIRATION

The results have charged up Practo's founders, Shashank N.D.

(37), Abhinav Lal (36), and Sidhartha Nihalani (37), who were all fresh information-technology (IT) graduates from the National Institute of Technology Karnataka at Surathkal, when they coded Practo in 2008.

"What started in our dorm rooms has grown over the past 16 years," Shashank, who is also the CEO of Practo, says. As a student, Shashank had to help his father undergo several surgeries and got to see some doctors up close. "I saw the surgeon's dedication and how much work he put in for each patient before and after appointments," Shashank says.

He decided to help create software to help doctors schedule appointments and even discuss cases with other doctors. Shashank and his partners all participated in placements. Although they were all offered jobs, none of them joined.

Internet access was not widespread when Shashank and his friends built Practo Ray, a clinic management software that brought doctors online and allowed them to interact with their patients. Practo grew as it added features and acquired a company. It got the IPO itch and planned it for 2021, but 2020 was a shock. Since then, the journey from pre-pandemic optimism in 2019 to aiming for post-pandemic profitability has not been easy.

Practo cites adjusted Ebitda, a financial metric used to evaluate a company's operating performance by removing certain non-operational items, ESOP costs or non-recurring items from Ebitda. "We were close to achieving profitability in FY20," Shashank says, referring to the financial year just before the Covid-19 pandemic that laid the world low. "Ending the year with nearly a minus 10% Ebitda margin, we were on the verge of a financial breakthrough."

"The first year of Covid-19

A WELCOME RETURN



PRACTO'S REVENUE GREW FROM ₹105 CRORE IN FY21 TO ₹240 CRORE IN FY24, WHILE OPERATIONAL LOSSES DECREASED, BRINGING THE COMPANY CLOSER TO PROFITABILITY



THE COMPANY CLAIMS TO HAVE ACHIEVED OPERATIONAL PROFITABILITY IN Q4FY24 BY FOCUSING ON CORE SERVICES LIKE TELECONSULTATIONS AND DOCTOR-SIDE SOFTWARE



PRACTO IS REPORTEDLY PREPARING FOR AN IPO AND PLANS TO EXPAND ITS INTERNATIONAL MARKETS, INCLUDING THE UAE AND SAUDI ARABIA



THE COMPANY IS LEVERAGING AI TO ENHANCE HEALTHCARE DELIVERY, PARTICULARLY IN IMPROVING DOCTOR-PATIENT INTERACTIONS AND HEALTH OUTCOMES



THE BENGALURU-BASED FIRM IS ALSO EXPANDING ITS REACH TO TIER II AND III CITIES TO CATER TO THE GROWING DEMAND FOR QUALITY HEALTHCARE SERVICES